

MIDTERM EXAMINATION

Fall 2009

MGT602- Entrepreneurship

Question No: 1 (Marks: 1) - Please choose one

Being one's own boss is a need of:

- ▶ **Independence**
- ▶ Achievement
- ▶ Affiliation
- ▶ Authority

Question No: 2 (Marks: 1) - Please choose one

With a commercial history of only 300 years, which country was a new comer to the international arena?

- ▶ Japan
- ▶ **U.S**
- ▶ China
- ▶ U.K

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a obstacle to going in international business?

- ▶ Mergers
- ▶ **Trade barriers**
- ▶ Rivalry
- ▶ Protectionist attitudes

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Question No: 5 (Marks: 1) - Please choose one

A/an _____ is an online connection between the company and its customers.

- ▶ Internet advertising
- ▶ **Website**
- ▶ E-Commerce
- ▶ World Wide Web

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**

► Test Marketing Stage

Question No: 7 (Marks: 1) - Please choose one

All of the following are essentials to maintain secrecy, EXCEPT:

- Train employees to refer sensitive questions to one person
- **Discuss business in public places**
- Provide escorts for all office visitors
- Use simple security such as locked file cabinets

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

- Lack of experience
- **Limited resources**
- Lack of education
- **None of the given options**

Question No: 9 (Marks: 1) - Please choose one

How many perspectives should be considered while preparing business plan?

- One
- **Three**
- Four
- Not specific

Question No: 10 (Marks: 1) - Please choose one

SBA stands for:

- Small business accountants
- **Small business administration**
- Small business adequacy
- Small business advisors

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is NOT an environmental factor?

- Economy
- Culture
- Technology
- **Competition**

Question No: 12 (Marks: 1) - Please choose one

Which one of the following guide the firm through the long term decision making?

- Mission statement
- Product forecast
- Industry analysis
- **None of the given options**

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is NOT included in four C's evaluation by lender?

- Character

- ▶ Cost
- ▶ **Continuity**
- ▶ Contribution

Question No: 14 (Marks: 1) - Please choose one

A utility patent has a term of:

- ▶ 10 years
- ▶ 40 years
- ▶ **20 years**
- ▶ 80 years

Question No: 15 (Marks: 1) - Please choose one

Which of the following body issues patents?

- ▶ GATT
- ▶ NAFTA
- ▶ FTA
- ▶ **PTO**

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a idea generation method that focuses on parameters?

- ▶ Brainstorming
- ▶ Reverse brainstorming
- ▶ **Creative problem solving**
- ▶ Synectics

Question No: 17 (Marks: 1) - Please choose one

Developing a new idea through inquiry and testing is called:

- ▶ Heuristics
- ▶ Forced relationship
- ▶ **Scientific method**
- ▶ Value analysis

Question No: 18 (Marks: 1) - Please choose one

Trade barriers cause:

- ▶ **Increase in cost**
- ▶ Decrease in cost
- ▶ Increase in profit
- ▶ None of the given options

Question No: 19 (Marks: 1) - Please choose one

Having less than 50 percent of equity share in an international venture is called:

- ▶ **Minority interest**
- ▶ Joint venture
- ▶ Majority interest
- ▶ Exporting

Question No: 20 (Marks: 1) - Please choose one

Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

- ▶ Joint venture
- ▶ **Majority interest**
- ▶ Horizontal merger
- ▶ Diversified activity merger

Question No: 21 (Marks: 1) - Please choose one

Which of the following is a method of selling goods to another country by taking care of transactions?

- ▶ Indirect exporting
- ▶ **Direct exporting**
- ▶ Importing
- ▶ Management contract

Question No: 22 (Marks: 1) - Please choose one

Gazelles are the firms with:

- ▶ **High growth rate**
- ▶ Moderate growth rate
- ▶ Zero growth rate
- ▶ Low growth rate

Question No: 23 (Marks: 1) - Please choose one

Which of the following are the Fast-growth young companies?

- ▶ **Gazelles**
- ▶ Life style
- ▶ Foundation Company
- ▶ None of the given options

Question No: 24 (Marks: 1) - Please choose one

Which of the following is alternatively called corporate venturing?

- ▶ Entrepreneurship
- ▶ **Intrapreneurship**
- ▶ Act of stating a new venture
- ▶ Offering new products by an existing company

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is not the intrapreneurial leadership characteristic?

- ▶ Understands environment
- ▶ Encourage the team work
- ▶ **Not flexible**
- ▶ Persistent

Question No: 26 (Marks: 1) - Please choose one

Which of the following typical culture has a climate and reward system that favors conservative decision making?

- ▶ Entrepreneurial
- ▶ **Intrapreneurial**

- ▶ **Corporate page # 18**
- ▶ None of the given options

Question No: 27 (Marks: 1) - Please choose one

Which of the following are known as barriers to new product creation and development?

- ▶ Trial and error
- ▶ **Opportunity parameters page # 14**
- ▶ Opportunity cost
- ▶ Intrapreneurship culture

Question No: 28 (Marks: 1) - Please choose one

Degree of influence and control on other people is called:

- ▶ **Locus of control**
- ▶ Locomotion of control
- ▶ Locust of control
- ▶ Loss of control

Question No: 29 (Marks: 1) - Please choose one

Which of the following plan describes market conditions and strategy related to products?

- ▶ Production plan
- ▶ Operational plan
- ▶ Financial plan
- ▶ **Marketing plan**

Question No: 30 (Marks: 1) - Please choose one

Individuals who give psychological support to an entrepreneur are called:

- ▶ Role models
- ▶ **Moral support networks page 23**
- ▶ Professional support networks
- ▶ Informal networks

MIDTERM EXAMINATION

Spring 2009

MGT602- Entrepreneurship (Session - 3)

Question No: 31 (Marks: 1) - Please choose one

The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status page 25**
- ▶ Achievement

Question No: 32 (Marks: 1) - Please choose one

Individuals who help the entrepreneur in business activities are called:

- ▶ Role models
- ▶ Moral support networks
- ▶ **Professional support networks page 25**
- ▶ Business support networks

Question No: 33 (Marks: 1) - Please choose one

Following are the problems in developing the economies EXCEPT:

- ▶ Gap of knowledge
- ▶ Variable rate of return
- ▶ **Same communication style page 29**
- ▶ Different accounting system

Question No: 34 (Marks: 1) - Please choose one

Which one of the following is a business arrangement in which someone else is allowed to use something of the company?

- ▶ Patent
- ▶ Trade mark
- ▶ Copy right
- ▶ **Licensing page 34**

Question No: 35 (Marks: 1) - Please choose one

Which of the following method entrepreneur can use to do international business with least risk?

- ▶ **Turnkey projects**
- ▶ Joint venture
- ▶ Merger
- ▶ Synergy

Question No: 36 (Marks: 1) - Please choose one

Combination of at least two firms at different market levels is called:

- ▶ Joint venture
- ▶ Synergy
- ▶ Horizontal merger
- ▶ **Vertical merger page 36**

Question No: 37 (Marks: 1) - Please choose one

Which of the followings give the owners a negative right, preventing anyone from making, using, or selling the invention?

- ▶ **Patent page 46**
- ▶ Copyright
- ▶ Trade mark
- ▶ Trade secret

Question No: 38 (Marks: 1) - Please choose one

Which one of the following is a longest lasting trade agreement with the objective of liberalizing trade by eliminating or reducing tariffs, subsidies and quotas?

- ▶ Free trade area – FTA
- ▶ European community – EC
- ▶ **General agreement on tariffs and trade – GATT**
- ▶ The North American free trade agreement – NAFTA

Question No: 39 (Marks: 1) - Please choose one

Which one of the followings statements is NOT true about trademarks?

- ▶ **The entrepreneur can not file after the mark already been in use**
- ▶ A trademark could be a slogan or a particular sound
- ▶ Some trademarks have no relationship with the product
- ▶ The filing date for the trademark becomes the first date use of the mark

Question No: 40 (Marks: 1) - Please choose one

According to the governing bodies of common laws, the life of trade secret is:

- ▶ 12 years
- ▶ 17 years
- ▶ 20 years
- ▶ **As long as it remains confidential**

Question No: 41 (Marks: 1) - Please choose one

Which one of the following protects continuity of the business(specially in partnership)?

- ▶ Property insurance
- ▶ Casualty insurance
- ▶ **Life insurance**
- ▶ Bonding

Question No: 42 (Marks: 1) - Please choose one

A legally binding agreement between two parties is called:

- ▶ **A contract**
- ▶ Licensing
- ▶ Insurance
- ▶ A copyright

Question No: 43 (Marks: 1) - Please choose one

Information regarding all of the following is related to operations, EXCEPT:

- ▶ Location
- ▶ **Promotion page 56**
- ▶ Raw materials
- ▶ Labor skills

Question No: 44 (Marks: 1) - Please choose one

Which of the following is a characteristic of a good partner?

- ▶ Help to achieve goals
- ▶ Share entrepreneur's vision
- ▶ Do not exploit the partnership
- ▶ **All of the given options**

Question No: 45 (Marks: 1) - Please choose one

Which one of the following is a sound strategic option for an entrepreneur when synergy is present?

- ▶ **Merger page 34**
- ▶ Joint venture
- ▶ Minority interest
- ▶ Majority interest

Question No: 46 (Marks: 1) - Please choose one

Following are the types of non-equity arrangements EXCEPT:

- ▶ Licensing
- ▶ Management contracts
- ▶ **Direct export page 31**
- ▶ Turnkey projects

Question No: 47 (Marks: 1) - Please choose one

Andrew Carnegie is an example of entrepreneur of which century:

- ▶ Earliest period
- ▶ **19th and 20th century page # 3**
- ▶ Middle ages
- ▶ 17th century

Question No: 48 (Marks: 1) - Please choose one

A person who managed large project was termed as the entrepreneur in the _____.

- ▶ Earliest period
- ▶ **Middle ages page 3**
- ▶ 17th century
- ▶ 19th and 20th century

Question No:49 (Marks: 1) - Please choose one

In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____.

- ▶ Economic Environment
- ▶ Political Environment
- ▶ **Cultural Environment**
- ▶ Technological Environment

Question No: 50 (Marks: 1) - Please choose one

Most of the finance for the new firm comes from following resources EXCEPT:

- ▶ Friends
- ▶ **Foreign aid page 6**
- ▶ Relatives
- ▶ Personal savings

Question No: 51 (Marks: 1) - Please choose one

Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

- ▶ New business model
- ▶ Anatomization
- ▶ **Creative destruction**
- ▶ None of the given options

Question No: 52 (Marks: 1) - Please choose one

The intersection of knowledge and a recognized social need to start a product development process is called which of the following?

- ▶ **Iterative synthesis page 7**
- ▶ Product-evolution process
- ▶ Ordinary innovation
- ▶ Situation analysis

Question No: 53 (Marks: 1) - Please choose one

A foundation company is formed through which of the following?

- ▶ Fashion
- ▶ Most popular business
- ▶ A winding up company
- ▶ **Research and development page 7**

Question No: 54 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ **Hyper competition page 16**
- ▶ Governmental laws
- ▶ Organizational culture

Question No: 55 (Marks: 1) - Please choose one

Which of the following is required for a company that wants to be more flexible in adopting changes?

- ▶ **Management commitment**
- ▶ Contact with customers
- ▶ Technology
- ▶ More productivity

Question No: 56 (Marks: 1) - Please choose one

Individuals influencing an entrepreneur's career choice and style are known as which of the following?

- ▶ **Role model page 25**
- ▶ Moral-support network
- ▶ Professional support network
- ▶ Support system

Question No: 57 (Marks: 1) - Please choose one

An entrepreneur is also successful in international business as well if he understands:

- ▶ **Difference of domestic and international business page 29**
- ▶ Domestic business
- ▶ International business
- ▶ None of the given options

MIDTERM EXAMINATION

Spring 2009

MGT602- Entrepreneurship (Session - 4)

Question No: 58 (Marks: 1) - Please choose one

Which of the following has not yet been empirically established as a distinguishing characteristic of entrepreneurs?

- ▶ Locus of control
- ▶ Feeling about independence
- ▶ Need for achievement
- ▶ **Risk taking page 22**

Question No: 59 (Marks: 1) - Please choose one

The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status page 25**
- ▶ Achievement

Question No: 60 (Marks: 1) - Please choose one

A company dealing in beer has a merger with cigarettes manufacturing firm. This merger is called:

- ▶ Horizontal merger
- ▶ **Product extension merger page 33**
- ▶ Market extension merger
- ▶ Vertical merger

Question No: 61 (Marks: 1) - Please choose one

Members of distribution channels are excellent sources for new ideas because:

- ▶ **They are familiar with the needs of the market page 38**
- ▶ They earn a handsome profit from new business
- ▶ They do not bother if entrepreneur bears a loss
- ▶ They have well-developed sales force

Question No: 62 (Marks: 1) - Please choose one

Which one of the following is the most important characteristic of a successful business website?

- ▶ **Speed page 44**
- ▶ Innovation
- ▶ Graphics
- ▶ Products

Question No: 63 (Marks: 1) - Please choose one

Why should an entrepreneur do a feasibility study for starting a new venture?

- ▶ **To see if there are possible barriers to success page 56**
- ▶ To identify possible sources of funds
- ▶ To estimate the expected sales
- ▶ To explore potential customers

Question No: 64 (Marks: 1) - Please choose one

Which of the following is TRUE for Disclosure Document?

- ▶ It gives recognition that he was the inventor of the idea in past
- ▶ **It gives recognition that he is the first the inventor of the idea page 47**
- ▶ It gives recognition that he will be the invent an idea in future
- ▶ It gives recognition that he wants to copy the idea

Question No: 65 (Marks: 1) - Please choose one

The transitional disturbance and lack of reform has led to a booming black market in:

- ▶ China
- ▶ Hungary
- ▶ Singapore
- ▶ **Poland page 38**

In Poland, the transitional upheaval and lack of reform has led to a thriving black market.

Question No: 66 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ **Central Asia page 37**
- ▶ Transition economies

Question No: 67 (Marks: 1) - Please choose one

Which one of the following gives suggestions for new product and also help to market new products?

- ▶ Existing products and services
- ▶ **Distribution channels page 38**
- ▶ Federal government
- ▶ Consumers

Question No: 68 (Marks: 1) - Please choose one

Which of the following is used by entrepreneurs to acquire experience in an international market before making a major commitment?

- ▶ Merger
- ▶ **Joint venture page 103**
- ▶ Minority interest
- ▶ Majority interest

Question No: 69 (Marks: 1) - Please choose one

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership
- ▶ **U.S. leadership**
- ▶ U.K. leadership

Question No: 70 (Marks: 1) - Please choose one

The entrepreneur was distinguished from capital provider in:

- ▶ Middle ages
- ▶ **18th century page 3**
- ▶ 17th century
- ▶ 19th and 20th century

Question No: 71 (Marks: 1) - Please choose one

Which of the following shows the process of creating something new?

- ▶ Business model
- ▶ Modeling
- ▶ **Innovation**
- ▶ Creative flexibility

Question No: 72 (Marks: 1) - Please choose one

In the administrative domain, the commitment of resources is for which of the following?

- ▶ Periodic intervals
- ▶ **Total amount needed page 15**
- ▶ For certain tasks
- ▶ For long time

Question No: 73 (Marks: 1) - Please choose one

The activity which occurs when the new venture is started is called:

- ▶ Motivation
- ▶ Business skills
- ▶ **Departure point page 23**
- ▶ Goal orientation

Question No: 74 (Marks: 1) - Please choose one

Which of the followings is NOT followed in brainstorming?

- ▶ **Criticism is done by the group members**
- ▶ The wilder idea is better
- ▶ Quantity of ideas is required
- ▶ The session should be fun, with no one dominate the discussion

Question No: 75 (Marks: 1) - Please choose one

Licensing is a significant marketing strategy to:

- ▶ Use intellectual property of others
- ▶ **Pirate others' patents page 50**
- ▶ Grow the business in new markets
- ▶ Control the costs

Question No: 76 (Marks: 1) - Please choose one

For which of the following copy right acquisition is desirable?

- ▶ **Songs**
- ▶ Poems
- ▶ Models
- ▶ All of the given options

Question No: 77 (Marks: 1) - Please choose one

Which of the following two work environments should be good for produce the new enterprises?

- ▶ **Finance and marketing** 9
- ▶ Finance and R&D
- ▶ Marketing and R&D
- ▶ Marketing and IT

Question No: 78 (Marks: 1) - Please choose one

Which one of the following is used to identify opportunity?

- ▶ Input from customers
- ▶ Input from channel members
- ▶ Input from business associates
- ▶ **All of the given options**

Question No: 79 (Marks: 1) - Please choose one

Which of the following factor has allowed small companies to act like they are big ones?

- ▶ **Technology** 21
- ▶ Customers
- ▶ Economic development
- ▶ Competition

Question No:80 (Marks: 1) - Please choose one

Which of the following system is necessary for expansion or elimination of intrapreneurial units?

- ▶ **Management** page 19
- ▶ Evaluation
- ▶ Reward
- ▶ Training

Question No: 81 (Marks: 1) - Please choose one

Which of the following makes the formation of new venture difficult within a corporate culture?

- ▶ Lack of intrapreneurial talent
- ▶ Lack of freedom to make autonomous decisions
- ▶ Lack of market opportunity
- ▶ **All of the given options**

Question No: 82 (Marks: 1) - Please choose one

Which of the following factor does not affect a person for being an entrepreneur?

- ▶ Family background
- ▶ Education
- ▶ Personal values
- ▶ **Gender**

Question No: 83 (Marks: 1) - Please choose one

A patent is granted for a specified amount of time because of the assumption:

- ▶ That during this time firm will cover its development costs
- ▶ **That firm will earn a sufficient profit during this period**
- ▶ To limit the monopoly of the firm

- ▶ That it will stimulate idea and development of a better product

Question No: 84 (Marks: 1) - Please choose one

Which of the following grants protection to owner from anyone else making, using and selling the identified innovation?

- ▶ **Utility patent 47**
- ▶ Design patent
- ▶ Plant patent
- ▶ International patent

Question No: 85 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

- ▶ Lack of experience
- ▶ **Limited resources**
- ▶ Lack of education
- ▶ None of the given options

Question No: 86 (Marks: 1) - Please choose one

Which of the following is NOT studied in industry analysis?

- ▶ Economic conditions
- ▶ Technology advancements
- ▶ **Organizational culture 57**
- ▶ Legal concerns

Question No: 87 (Marks: 1) - Please choose one

Which one of the factors should be considered while assessing the location for business?

- ▶ Parking
- ▶ Access from roadways to facility
- ▶ Delivery rates
- ▶ **All of the given options**

Question No: 88 (Marks: 1) - Please choose one

Which of the following factor is most important in forming a new business?

- ▶ **Finance**
- ▶ Marketing
- ▶ Government support
- ▶ Family support

Question No: 89 (Marks: 1) - Please choose one

Which of the following areas are preferred by women entrepreneurs?

- ▶ **Administration**
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No: 90 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ **All of the given options**

Question No: 91 (Marks: 1) - Please choose one

What is the process by which individuals pursue opportunities without regard to resources they currently control?

- ▶ Startup management
- ▶ **Entrepreneurship**
- ▶ Financial analysis
- ▶ Feasibility planning

Question No: 92 (Marks: 1) - Please choose one

Which is the most common cause of business failure?

- ▶ Insufficient capital
- ▶ Unstable market
- ▶ Insufficient experience
- ▶ **Poor entrepreneurship**